

Age between 25 to 40 years

This is the prime phase of your life, and if you started off well in the beginning, it is really going to serve you handsomely at this stage. This is the phase of life where you would get married, have children, change jobs, become an entrepreneur, see a sharp increase in your salary (and expenses), progress quickly in your career, invest in real estate and stocks, and even strive closer towards financial freedom. These 15 years will define the remaining 40–50 years of your life. Some of you would even be able to achieve financial freedom in this age group.

With so much happening in your life during these 15 years, your portfolio asset allocation must keep pace with the higher risks and responsibilities as well as higher income and expenses. The absolute amounts in your portfolio will go up, but you must keep a strict monitoring control over the % asset allocation. It is very easy for the asset allocation to get skewed because of various forces pulling against each other e.g. your EPF amounts getting accumulated in a compounded manner, investments in real estate, returns from mutual funds, additional salary from your spouse, expenses of new family members etc.

But the biggest challenge would be managing your time to make sure you stay in control of your asset allocation. Time becomes a rarity in this age, and managing some time out of your busy life to tune your portfolio can prove truly rewarding.

Figure 6.3 Below is the portfolio asset allocation for a freedom seeker in this age group.